



LABSTAT INTERNATIONAL INC.

262 Manitou Drive, Kitchener, Ontario, Canada N2C 1L3
Phone (519) 748-5409 FAX (519) 748-1654

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² Unless superseded by a specific contractual obligation or other written agreement.



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Notes to Accompany Price Quotation:

1. Accreditation

Labstat International Inc. has been accredited to ISO 17025
with a scope that includes 63 tobacco related methodologies



2. Methods

Methods to be employed have been internally validated as required by Labstat's Quality System.

3. Number of observations

This price quotation is based on the assumption that the number of replicates required is as indicated. Labstat will be pleased to revise this quotation should this assumption not be correct.

4. Time Frame

To be determined.

5. Payment

Invoices are due when rendered and payable within 30 days of submission.

6. Time Limits

This price quotation is valid until December 31, 2006.

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To: R.J. Reynolds
P.O. Box 1148
950 Reynolds Boulevard
Winston-Salem NC
27102-1487

Quote No.: T2070

Project: M72

Date: 11-May-06

Attn: Dr. Mike Borgerding

Item	Mainstream Tobacco Smoke (6 Replicates)	Cost/ Obs.	Obs. per Brand	No. of Brands	No. of Regimes	Total No of Obs.	Cost per "Item"
1	Sample handling, login and recording	<i>American \$</i> \$25.51	1	4	n/a	4	\$102.04
2	Materials Mass Balance - smoking regimes 1 and 2 as noted below	\$210.00	6	4	2	48	\$10,080.00
3	Surcharge for non-standard smoking regimens and 'Eclipse Type' products (see below)					10%	\$1,008.00
						Total	\$11,190.04

Puffing regimens:

(1) 35 ml puff of 2 s duration every 60 s (35/2/60) (FTC)

(2) 60 ml puff of 2 s duration every 30 s (60/2/30) - no vent blocking

Number of Brands and Brand Types:

No of Brands/Brand equivalents:

- 2 Eclipse products

- 2 non-Eclipse products